CASCADIA ANALYTICS

INVESTMENT SCORECARD

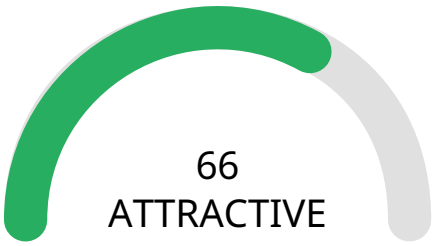
MITK

Mitek Systems, Inc. (NASDAQ)
As-of: 23-Oct-2026 | Latest Filing: FQ3 2026 (reported 6-Aug-26) |
Currency: USD

$18.61 [Mkt 23-Oct-26]

Market Cap: $0.77B
[Mkt 23-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 70

Software economics with ~80-85% gross margins, FCF conversion ~70% of adjusted EBITDA, and a strengthened balance sheet ($100M+ cash/ investments). Offset by small scale ($180M revenue), lumpy license revenue, and a limited moat against larger fraud vendors.

2. Recent Trend — 78

Eight straight quarterly EPS beats. FQ3: revenue +18% (beat +6.3%), record adjusted EBITDA margin 38.5% (up from 28.6%), guidance raised again. Stock popped 18% on the print but sits below its 50-day average, so momentum has cooled.

3. Forward Growth — 66

AI-driven fraud tailwind is real and durable: F&I revenue +14-28%, SaaS mix rising to 46%. But the company guides only ~8% total growth at the FY26 midpoint, and the legacy Check Verification base (~$90M TTM) is structurally soft.

4. Valuation — 55

DCF base $17.50 implies 6% downside at $18.61; reverse DCF prices in 9.1% CAGR, just above the base case (9%) and well above the bear case (5%). NTM P/E 13.5x with PEG 1.38 is reasonable but not cheap. Roughly fairly priced. Terminal value is a single Gordon perpetuity on 2030 free cash flow at the scenario terminal growth rate (2.0% bear, 2.5%

base, 3.0% bull); there is no exit-multiple leg. The present value of terminal value is 70.9% of enterprise value in the bear case, 74.2% in the base case and 77.2% in the bull case. The WACC build's after-tax cost of debt now uses the model's own 26% cash tax rate for the interest tax shield (corrected 2026-10-22; a hard-coded 21% template rate understated the shield), moving WACC from 9.68% to 9.66%.

5. Catalysts & Risk — **64**

FQ4 earnings Dec 10 test the raised guide; Check Fraud Defender consortium and FICO partnership add enterprise credibility. Biometrics license revenue is lumpy and management warned it steps down in the back half. Small-cap execution risk with thin coverage (3 analysts).

Investment Thesis

- **Fraud Tailwind Is Real:** AI-assisted and synthetic identity fraud is driving bank demand; F&I SaaS grew 37% in FQ3 and the Check Fraud Defender consortium is compounding at 50%+ [Q3'26 call].
- **Execution Is Best-in-Small-Cap:** Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering [Q3'26 8-K].
- **Fairly Priced, Not Cheap:** At $18.61 [Mkt 16-Oct-26], the DCF base $17.50 sits 6% below the price. The setup is a quality small cap at a fair price, not a bargain. Wait for weakness or an FQ4 beat to add.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (FQ3 2026)	$54.0M [Q3'26 8-K]	+18.2% [Q3'26 8-K]	Up
F&I Revenue (FQ3 2026)	$29.0M [Q3'26 8-K]	+14% [Q3'26 8-K]	Up
F&I SaaS Growth (FQ3)	+37% [Q3'26 call]	+22 pts est. [Q3'26 call]	Up
Adj. EBITDA Margin (FQ3)	38.5% [Q3'26 8-K]	+9.9 pts [Q3'26 8-K]	Up

Non-GAAP EPS (FQ3)	$0.34 [Q3'26 8-K]	+65% [Q3'26 8-K]	Up
SaaS Mix (LTM revenue)	46% [Q3'26 call]	+5 pts [Q3'26 call]	Up
FY2026 Revenue Guide	$189-198M [Q3'26 8-K]	~+8% mid [Q3'26 8-K]	Up

Historical Financial Trend

Metric	FY21	FY22	FY23	FY24	FY25
Revenue	$33.3M [10-K FY21]	$144.8M [10-K FY22]	$172.6M [10-K FY23]	$172.1M [10-K FY24]	$179.7M [10-K FY25]
Net Margin	5.4% [10-K FY21]	2.6% [10-K FY22]	4.7% [10-K FY23]	1.9% [10-K FY24]	4.9% [10-K FY25]
FCF Margin	116.4% [10-K FY21]	13.8% [10-K FY22]	17.7% [10-K FY23]	17.6% [10-K FY24]	30.2% [10-K FY25]

Valuation

Absolute (5/10)

P/E (fwd) 13.5x [Mkt 16-Oct-26]
DCF Base $17.50 [Mkt 16-Oct-26]
PEG 1.38 [Mkt 16-Oct-26]

DCF implies 6% downside. Reasonable absolute multiple for a growing software name.

Versus Peers (5/8)

Identity-verification peer multiples not collected [n/a] Screened vs small-cap SaaS comps

EV/Revenue of 3.2x NTM is below typical SaaS multiples, partly reflecting the legacy check mix.

Versus History (5/7)

P/E 82.6x TTM (GAAP) vs 13.5x NTM [Mkt 16-Oct-26] Long-run multiple history not collected

GAAP TTM P/E is distorted by one-offs; NTM figure reflects the true run-rate.

Catalyst Timeline

10 Dec 2026 [Cons]
FQ4 2026 Earnings (Positive): Fiscal year ended Sep 30; guide was $189-198M full-year revenue. Tests whether raised outlook was conservative.

2027 [PR]
Check Fraud Defender Expansion (Positive): FICO partnership plus top-5 US bank joining the consortium; ACV already >$19M and up 50%+ YoY.

2027 [Q3'26 call]
SaaS Mix Crossing 50% (Positive): SaaS at 46%

Top Risk Factors (Item 1A)

1. Legacy Check Decline: Check Verification revenue was +24% in FQ3 on renewal timing but is a structurally declining legacy base at ~$90M TTM. Renewal lumpiness can produce sudden quarterly air pockets. [Q3'26 call]

2. Lumpy License Revenue: Biometrics license activity drove the F&I beat but is explicitly lumpy; management warned it steps down sequentially in the back half of the year. [Q3'26 call]

3. Small-Cap Competition: A ~$730M small cap competing against larger fraud and identity platforms. Thin analyst coverage (3 analysts)

> of LTM revenue vs 40% a year ago; continued shift improves revenue visibility and multiple.

What Would Change Our Score

A FQ4 beat with FY27 guidance pointing to sustained mid-teens F&I growth would lift Forward Growth and justify a re-rating. A license-driven miss or further Check Verification deterioration would cut Trend and Valuation.

means less institutional support and higher volatility. [Q3'26 8-K]

Forward Growth Drivers

- AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification [Q3'26 call]
- Check Fraud Defender consortium network: ACV >$19M, +50% YoY, top-5 US bank joined, FICO partnership [Q3'26 call]
- SaaS transition: 46% of LTM revenue vs 40% a year ago; F&I SaaS growing high-teens to 20% [Q3'26 call]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used EBITDA margin trajectory qualitatively.
- Long-run multiple history not collected locally; current TTM/NTM multiples only, tagged [Mkt 16-Oct-26].
- Identity-verification peer multiples not collected locally; peer comparison limited.
- No recent M&A activity found in searches; logged as absent rather than confirmed.
- FY21 FCF margin 116% reflects the stub-year $33.3M revenue figure in local data; treat FY21 as anomalous.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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